

Cross-Market Guideline

A compact checklist for turning futures, ETFs, and options chains into a single decision framework.

What this set includes

- Use this before the U.S. close, during the U.S.-close / Asia-open handoff, and again before the U.S. reopen.
- The goal is fast classification: correction, repricing, or no-trade.

1. Core operating principle

One market gives price discovery. One gives translation. One gives expected movement.

How to triangulate one asset across three markets

Use one lens for price discovery, one for translation, and one for forward-looking expectations.

1. Lead market Futures / spot

- Live price discovery
- Actual realized move
- Best overnight

2. Cash wrapper ETF

- U.S. cash translation
- Reopening gaps
- ETF level mapping

3. Options chain Listed options

- Implied move
- Strike clusters
- Skew / positioning

The practical question

Is the move just a thin-liquidity correction, or a real volatility event? Translate the live futures/spot move into ETF terms, compare it to the prior options-implied move, then check whether price is approaching a meaningful strike cluster.

Use the three-market sequence every time.

- Lead market = the wrapper still doing real-time price discovery (GC for gold; spot BTC and/or CME BTC / MBT for bitcoin).
- ETF = the U.S. cash-session translation layer (GLD or IBIT).
- Options chain = the U.S. listed-options snapshot for implied move, skew, and strike concentration.

2. Cheat-sheet formulas

Keep all comparisons on the same horizon.

Core formulas

ETF fair value $\approx$ ETF_ref $\times$ (Futures_now / Futures_ref)

ETF strike K mapped back into futures $\approx$ Futures_ref $\times$ (K / ETF_ref)

Expected move from IV $\approx$ Spot $\times$ IV $\times \sqrt{(\text{days}/252)}$

ATM straddle shortcut $\approx$ call premium + put premium

Shock ratio = realized ETF-equivalent move $\div$ prior implied move

Shock ratio	Interpretation
< 0.5	Usually normal noise or a contained correction
0.5 to 1.0	Meaningful move, but still within what was priced
> 1.0	Outside prior implied range; think repricing first

3. Gold checklist

Use GLD strikes to build a GC map.

Question	Gold checklist
Lead market	GC / MGC futures
U.S. cash wrapper	GLD
Useful overnight baseline	The prior GLD chain; CME Gold options / Gold CVOL if available
Good correction signature	Inside implied, thin handoff session, price lands in a mapped GLD strike cluster, then stalls or rejects
Danger signature	Outside implied, fresh macro catalyst, move keeps extending as Europe / U.S. liquidity returns
Best translation habit	Use percentage movement and map ETF strikes back into GC levels

Gold reminder

Do not ask the GLD chain to be a live overnight volatility feed once the U.S. session is over.

Use it as a priced-risk baseline and a strike map for the next U.S. session.

4. Bitcoin checklist

Remember: the ETF gaps, but bitcoin spot does not need to.

Question	Bitcoin checklist
Lead market	Spot BTC and/or CME BTC / MBT futures
U.S. cash wrapper	IBIT
Useful baseline	Friday or prior-close IBIT chain; CME BTC options if available
Good correction signature	Weekend or overnight move is still inside expected range and lands near a mapped IBIT strike cluster
Danger signature	Weekend or overnight move is far outside the prior implied range and volatility reprices at the reopen
Best translation habit	Treat the ETF gap as wrapper reconciliation, not as proof that bitcoin itself was closed

5. Order-cluster quality checklist

Not every strike cluster deserves the same weight.

Cluster feature	Why it matters
High nearby OI	Shows concentrated open positioning
Fresh same-day volume	Confirms current interest, not just legacy positions
Near expiry and near spot	Hedging sensitivity is usually higher there
Tight spreads / decent depth	Execution quality is better and quotes are more trustworthy
Confluence with futures structure	Round numbers, prior settlement, VWAP, or volume nodes make the zone stronger

Quality rule

OI alone is not enough.

A strong cluster usually combines OI, fresh volume, near-expiry relevance, and visible futures structure.

6. Post-trade review

Use the same questions every time.

Field	What to write down
Lead market	Which wrapper actually led the move?
Reference prices	Futures / spot ref, ETF ref, and the main strikes you mapped
Prior implied move	IV or ATM straddle estimate
Shock ratio	Small, medium, or outside implied?
Cluster quality	What made the zone strong or weak?
Outcome	Correction, repricing, or no-trade?
Lesson	What confirmed or invalidated the thesis?

One-sentence rule

If you cannot say which market led, how big the move was relative to implied, and which cluster mattered, you probably do not have a complete trade thesis yet.